

Lesson 1

My Money Roadmap

Financial Literacy for Grade 4

Grade 4 · Academic Year 2025–26

Learning Objectives

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| 1 | Understand what money is and why it matters in daily life. |
| 2 | Distinguish between needs and wants with real-life examples. |
| 3 | Apply the Save · Spend · Share framework to manage money. |
| 4 | Create a simple budget and set short- and long-term goals. |
| 5 | Identify common money mistakes and how to avoid them. |

What Is Money?

Money is a widely accepted medium of exchange — a special tool we use to obtain goods and services. It comes in the form of coins and notes (physical currency) and digital transfers. Without money, we would need to barter, which is slow and inconvenient.

"Money is a tool. Used properly, it makes something beautiful; used wrong, it makes a mess!" — Unknown

Money helps us:

- Buy essential items: food, clothing, shelter, medicine.
- Pay for education and learning materials.
- Save for bigger goals in the future.
- Help others through donations and sharing.

Needs vs Wants

A need is something you must have to survive and stay healthy. A want is something you would like but can live without. Smart money management means meeting needs first, then considering wants.

Examples at a glance:

■ Food & meals	■ Video games
■ School uniform	■ Sweets & chocolates
■ Textbooks & pens	■ Toys & dolls
■ Shelter / home	■ Fancy stickers

—■ Activity: Sort It Out!

List 5 things your family buys each month. Label each as Need (N) or Want (W).

Add up how many Needs vs Wants you found. What do you notice?

The Three Money Jars

One of the best habits for young money managers is to split every rupee received into three jars: Save, Spend, and Share. This simple system builds financial discipline from an early age.

How the Three Jars Work

Jar	Purpose	Example Goals	Suggested %
■ SAVE	Keep money for the future	New bicycle, school trip	50 %
■ SPEND	Use money for everyday things	Snacks, books, small toys	30 %
■ SHARE	Give to help others	Temple donation, charity, gifts	20 %

With ■100 allowance → ■50 Save · ■30 Spend · ■20 Share

Setting Money Goals

Goals give your savings a purpose! Without a goal, money tends to get spent on impulse buys. Writing goals down and checking them off makes achieving them feel exciting.

Two types of goals:

■ SHORT-TERM (days to weeks)	■ LONG-TERM (months to years)
Example: Buy an ice cream next week	Example: Save for a new bicycle
Example: Save ■50 for a sticker book	Example: School trip fund

Tip: Track daily in a notebook

Tip: Chart your progress weekly

Making a Budget

A budget is a written plan for how you will use your money before you receive it. Budgets stop overspending and keep you on track toward your goals.

Steps to make your first budget:

- Step 1 — Write down how much money you will receive (allowance, gifts, chores).
- Step 2 — List your needs first and subtract their cost.
- Step 3 — Decide how much goes into each of the three jars.
- Step 4 — Whatever is left can cover small wants.
- Step 5 — Review at the end of each week — did you stick to the plan?

Smart Spending Tips

Follow these habits every time you buy something:

- Think Before You Buy — Do I really need this right now?
- Compare Prices — Is there a cheaper option that works just as well?
- Make a Shopping List — Only buy what is on the list.
- Wait Before Buying Wants — Sleep on it for a day; the urge often passes.
- Avoid Impulse Buys — Sweets and toys at checkout are designed to tempt you.
- Save for Bigger Goals — Every ■ you don't spend is a ■ closer to your goal.

■ Activity: Smart Shopper Challenge

You have ■80. Rank these items: Samosa ■15 · Notebook ■30 · Comic book ■40 · Pencils ■20.

Which would you buy first? Can you buy all four? What would YOU leave out and why?

Saving Money — Why & How

Saving is the foundation of financial security. Even small amounts add up over time. The best time to save is right when you receive money — before spending anything else.

Key banking terms you'll hear:

Savings Account

A safe place in a bank where you deposit money and it earns a little extra (interest) over time.

Deposit

Putting money into your account.

Withdrawal	Taking money out of your account.
Interest	A small bonus the bank gives you for keeping money there.
Balance	The total amount currently in your account.

Tracking Your Money

Keeping a record of every rupee you earn and spend is called bookkeeping. Even a simple notebook works perfectly!

Sample Weekly Money Tracker

Date	Description	Money In (+)	Money Out (–)	Balance
Mon	Pocket money	₹100	—	₹100
Tue	Put in Save jar	—	₹50	₹50
Wed	Bought pencils	—	₹20	₹30
Fri	Donated to charity	—	₹20	₹10

Common Money Mistakes

Avoid these traps:

- Spending all money at once — leaves nothing for emergencies.
- Forgetting to save — even ₹10 a day = ₹3,650 a year!
- Buying without asking parents — important for big purchases.
- Not tracking spending — you won't know where the money went.
- Impulse buying sweets or toys — erodes your savings fast.
- Losing money by being careless — always keep it in a safe place.
- Not comparing prices — you might pay more than necessary.
- No plan before spending — a budget prevents regret.

Quick Check ✓

1. What is the difference between a need and a want? Give one example of each.
2. If you receive ₹200, how much would go into each of the three jars using the 50-30-20 rule?
3. Name THREE smart spending tips and explain why each one helps.

4. What is a budget? Why is it important to make one before spending?

5. Why should you track your money in a notebook every week?

Lesson Summary

- ★ Money is a tool — use it wisely to meet needs, reach goals, and help others.
- ★ Always separate needs from wants before spending.
- ★ Split money into Save (50%), Spend (30%), Share (20%).
- ★ Set short-term and long-term goals to give savings a purpose.
- ★ A budget is a plan — write it, follow it, review it.
- ★ Track every rupee in or out to become a smart money manager.